

Q. What is innovation? Different types of innovation?

Innovation:

- The process of bringing about new ideas, methods, products, services or solutions that have a significant positive impact and value.
- It involves transforming creative concepts into tangible outcomes that improve efficiency and effectiveness or address unmet needs.
- Innovation is the key to the economic development of any company, region or a country or country itself.
- Inventions and innovations are the building blocks of the future of any economic unit.

Types of Innovation

- These are various levels of the degree of innovation based on the uniqueness of the idea.

o These are three major types of innovation, in decreasing order of uniqueness:

1. Breakthrough innovation
2. Technological innovation
3. Ordinary innovation

1. Breakthrough innovation:

⇒ Breakthrough innovation involves coming up with really big, game-changing ideas that are completely new, or different from what's already out there.

⇒ These ideas can totally transform industries or even create whole new ones, like how the internet changed how we communicate and do business.

⇒ They are usually risky because they are so new and untested, and it's not always clear if they will work or if people will like them.

⇒ Breakthrough innovations often involve cool new technologies or inventions that nobody's ever seen before, like the first mobilephones or electric cars.

⇒ If they succeed, breakthrough innovations can bring huge rewards, like making a lot of money or changing the world for the better.

⇒ These extremely unique innovations often establish the basis for further innovation in an area to be developed.

⇒ These innovations are usually protected by strong patents, trade secrets, and copyrights.

Ex:

⇒ Penicillin, the steam engine, the computer, the airplane, the automobile, the internet & personal computers, smartphones, which transformed the way people communicate, work & access information.

2. Technological innovations:

- The process of introducing new or improved technologies to create innovative products, services or business models that address market needs, enhance efficiency.
- Occurs more frequently than breakthrough innovation.
- And in general not at the same level of scientific discovery and advancement.
- These are very meaningful innovations as they do offer advancements in the product / service / market area.
- They usually need to be protected.

Ex:

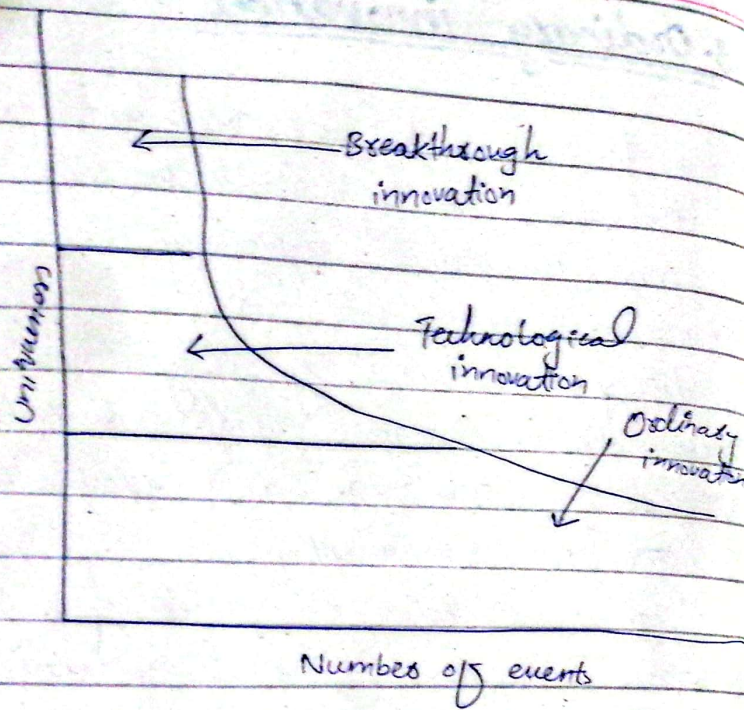
- Personal Computers
- The flip watch for containing pictures
- Voice & text messaging
- Jet airplane.

3. Ordinary innovation

- Refers to incremental improvements or adaptations made to existing products, services or processes to enhance efficiency, quality or user experience.
- Ordinary innovations typically involve smaller-scale changes that build upon existing knowledge and capabilities.
- Occurs most frequently.
- Usually extend an existing innovation into a better product or service or one that has a different, usually better market place.
- Usually come from market analysis.

ex:

Introduction of new features in a smartphone app. For instance, a social media platform might regularly release updates that add minor improvements to its interface or functionality.



Q. Explain Opportunity recognition and the Opportunity assessment Plan?

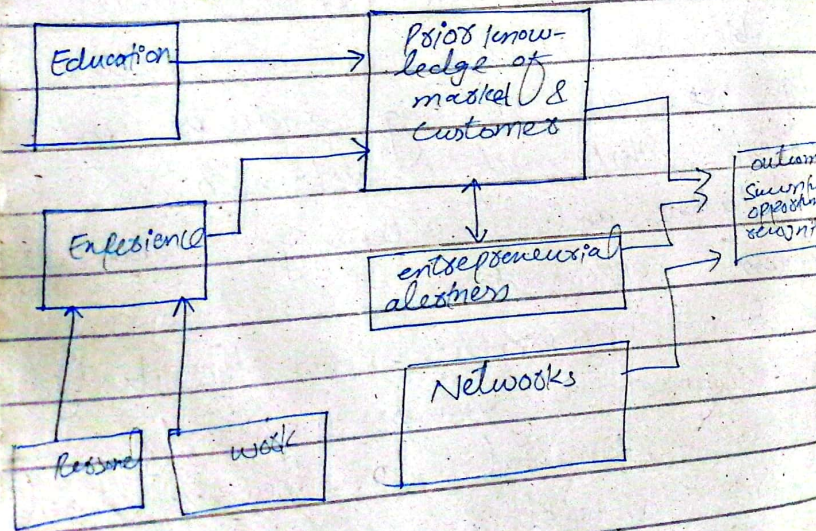
Opportunity recognition:

- Opportunity recognition are ways in which entrepreneurs identify potential ways towards identifying new business based on the opportunities that they identify.
- Through OR, an entrepreneur should be able to identify new and better ways to providing products and services that meet customer expectations and also identify new business opportunities.
- Some entrepreneurs need the ability to recognize a business opportunity. this is fundamental to the entrepreneurial process as well as growing a business.
- A business opportunity represents

a possibility for the entrepreneurs to successfully fill a large enough unsatisfied need that enough sales and profits results.

o Recognizing an ^{opportunity} often results from the knowledge and experience of the individual entrepreneurs

A Model of the Opportunity Recognition Process:



o Entrepreneurs who excel at opportunity recognition possess a keen sense of observation, creativity and market awareness.

⇒ successful entrepreneurs use opportunity recognizes

⇒ Opportunity recognizes tend to think outside the box, and stretch the limit of their imagination to come up with a new or improve ways of doing thing that allow them to turn their idea into reality.

⇒ They can look at the same situation at everyone else, but see the bigger picture.

⇒ Opportunity recognition is crucial in the beginning it is when forming a company that when they must be able to constantly recognize opportunity in order to grow, compete, and evolve with the changing trend of the market.

⇒ This step is essential and will always be a part of any entrepreneurs, whether they just starting out or an experienced entrepreneurs.

⇒ Opportunity recognition can occur through various means:

1. Market research
2. Problem-solving
3. Networking engaging with industry professionals
4. Personal experience
5. Technology and innovation

Example:

◦ Imagine you are walking down the street and notice that many people are struggling to find parking spaces.

◦ You realize there's a problem here: people need a more efficient way to find parking spots.

! This is opportunity recognition - noticing a problem or need that hasn't been fully addressed.

Opportunity Assessment Plan:

Opportunity assessment:

⇒ The process of carefully evaluating a business idea before starting it.

⇒ it involves researching the market, understanding potential risks, and estimating costs and profits.

⇒ The goal is to figure out (know) if the idea is practical, unique, and has a good chance of success.

⇒ Once an opportunity is recognized, entrepreneurs typically conduct an opportunity assessment to evaluate its feasibility and potential for success.

Opportunity Assessment Plan:

⇒ Once the opportunity is identified, it's essential to assess whether it's feasible and how you can turn it into a successful business. This is where an opportunity assessment plan comes in.

⇒ It is the ability to review the recognize opportunity.

⇒ Once an opportunity is recognized an entrepreneur develops an opportunity assessment plan to evaluate its feasibility and potential for success.

⇒ This plan outlines the steps and methodologies that will be used to assess the identified opportunity thoroughly.

⇒ Entrepreneurs assess the opportunity by analyzing business models and conducting market and economic analysis by asking:

"Can I bring this idea to market in an economically successful way?"

⇒ It involves answering key questions about the product, the market, the customer, and production process.

⇒ The process then involve reviewing the plan to determine whether to stay on course or deviate from the plan as the company grows.

⇒ By developing an opportunity assessment plan is a way to evaluate it.

⇒ An Opportunity assessment plan is not a business plan.

It is done instead of lengthier more time consuming business plan to see if the idea/opportunity is worth pursuing.

⇒ Compared to a business plan, it:

- Is shorter?
- Focuses on the opportunity, not the venture.
- Has no computer-based spreadsheet.

⇒ Is the basis for making the decision to either act on an opportunity or wait until another, better opportunity comes along.

Sections of Opportunity Assessment Plans:

⇒ An opportunity assessment plan has four sections:

- Two major sections
- Two minor sections

1. First section:

- Focuses on analyzing competitive products, companies, develop idea, and identifies the unique selling propositions.

2. Second section:

- Focuses on the market, its size, trends, characteristics, and growth rate.

3. Third section:

- Focuses on the entrepreneur's and management team's skills and experience.

4. 4th section:

- The final section develops a timeline indicating the steps to successfully launch the venture.

1. Idea Development & Competitive Analysis:

⇒ This section involves refining the initial business idea and assessing its uniqueness and competitive advantage.

⇒ Think about your business idea and how it stands out from others. What makes it unique? How does it compare to similar products or services already out there?

⇒ Look at what your competitors are doing. Study their

products or services. Figure out what makes you better and different. This is called Unique selling point. Something that makes your idea special.

⇒ This section also includes:

- A description of the product or service.
- The market need for the product or service.
- The specific aspects of the product or service.
- The competitive products presently available filling this need and their features and prices.
- The Companies in this product/service market space.
- The unique selling proposition of this product/service.

2. Market Analysis:

⇒ In this section, entrepreneurs assess the target market's size, growth potential, trends, and characteristics.

⇒ Understand the people who might buy your product or service. How many of them are there? Are they growing in numbers? What do they like? What do they need?

⇒ Learn about the trends in the market. Are people changing how they buy things? Are new ideas or technologies becoming popular?

⇒ Also includes:

- The market need filled.
- The social condition underlining this market need.
- Any data available to describe this market need.
- The size, trends and characteristics of the domestic and international market.
- The growth rate of the market.

3. Entrepreneurial Team Evaluation:

⇒ This section focuses on the entrepreneurs and the management team in terms of their background, education, skills and experience.

⇒ Look at yourself and your team. Entrepreneurs evaluate their own qualifications, expertise, and track record, as well as those of their team members, to ensure they possess the necessary competences to execute the ventures successfully.

- What skills do you have? What have you done before? Do you have experience in this area?

- Make sure team have what it takes to make the business successful.

- Investors and Stakeholders will want to know this too

⇒ It should include answers to the following questions:

- What is exciting about this opportunity?

- How does the product/service idea fit into the background and experience of the entrepreneurs and team?

- What business skills and experience are present?

- What business skills and experience are needed?

- Is there someone who has these needed skills and experience.

4 Launch Plan and Timeline

⇒ The final section of the opportunity assessment plan outlines the steps required to launch the venture successfully.

⇒ Plan out how you'll start your business. Break it down into smaller steps. When do you will do each step? How long it will take?

⇒ This plan helps you stay organized and focused.

⇒ This section involves developing a timeline indicating what steps need to be taken to successfully launch the venture. By translating the idea into a viable business entity.

⇒ This section should focus on:

- Identifying each step.
- Determine the sequence of activities and putting these critical steps into some sequential order.
- Identifying what will be accomplished at each step?
- Determining the time and money required at each step.
- Determine the total amount of time and money required.
- Identifying the sources of this needed money.

Example:

Opportunity Recognition:

- someone notice a problem. people struggle to find parking spots.
- Someone realize there is an opportunity to create a solution.

Example:

- He decide to make a phone app that helps people find parking easily.

Opportunity assessment Plan:

- He refine his idea, study the market, check skills and plan how to launch the app.

Idea Development:

- ⇒ Refine his idea by researching existing parking app and analyzing their features and shortcomings.
- ⇒ Search what will make your app unique.

Market Analysis:

- He study the parking industry, looking at factors like

the number of cars on the road, urbanization trends, and parking infrastructure.

- Also analyze potential competition and customer demographics to understand the market demand.

3. Entrepreneurial team evaluation:

- Assess own skills and experience as well as team members to check whether they have experience in software development or marketing which will be crucial for launching and promoting the app.

4. Launch Plan and Timelines

- Create a detailed plan outlining the steps needed to develop and launch the app.

Conclusion:

By creating an opportunity assessment plan, entrepreneurs can systematically evaluate the feasibility and potential for their business idea, identify

areas of strength and opportunity, and develop a clear road map for executing their venture. This helps mitigate risks and increases the likelihood of entrepreneurial success.

Q. Write down general sources of information?

⇒ There are many sources of information both on competitive companies and product/services and the market size, characteristics and growth rate available to the entrepreneurs in identifying an appropriate opportunity.

- General information
 - Industry and Market information
 - Competitive company and product information
 - Government sources
 - Search engines
 - Trade Associations
 - Trade publications.
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